

the larger development of the Elliott Wave dynamic through history. As discussed in Chapter 2, the critical data allowing us to conduct an investigation into the expected degree of the bear market are the prices for British stocks in the 1700s, which show that the 1720-1784 bear market and the bull market since that time are of the same degree: Grand Supercycle. The question is, are these structures waves Two and Three or waves Four and Five of a larger impulse? Answering that crucial question involves a good deal of supposition because a continuous record of stock price data before the year 1695 is not available. However, prior suppositions of this type have so far all proved correct, as detailed in Chapter 2.

One observation is critical to the analysis: The Grand Supercycle correction that took place from 1720 to 1784 is a *zigzag*. Its pattern, labeled (A)-(B)-(C), is unmistakable in the plots of both actual prices, shown in Figure 2-2, and inflation-adjusted prices, shown

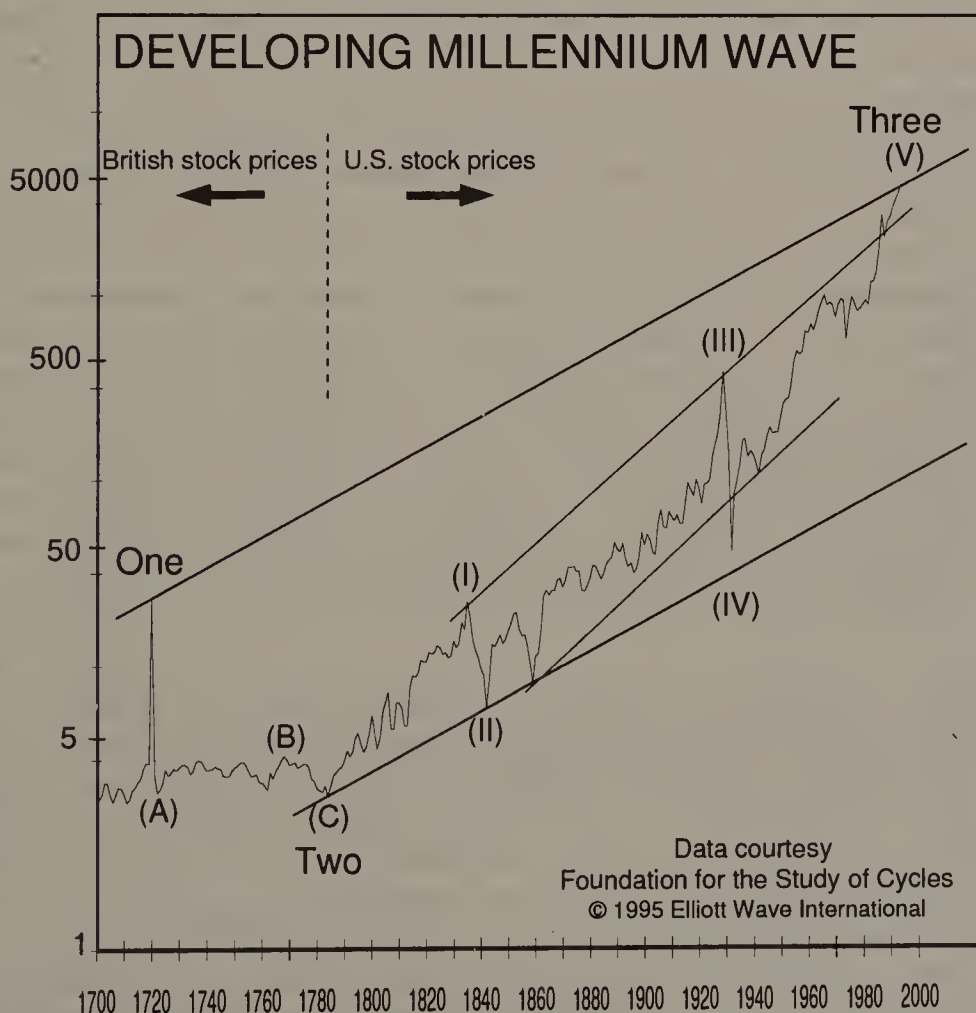


Figure 5-1